TEACHER GUIDE DRAFT

Leaving Certificate Business (current syllabus)

Marketing mix: promotion

Unit 5: Business in action
5.2 The marketing mix: promotion



A revision lesson. Pupils run a car dealership in firms of four and revise marketing mix: promotion on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

1 Ad return as %

Round 1

Was the advert worth it?

Profit from the advert, as % of its cost?

The advert costs	**€3,500**
Extra sales from it	**7 cars**
Margin per car	**€1,225**

ANSWER

145%

(7 × €1,225 − €3,500) ÷ €3,500 = 145%

Why: Every €1 spent on the advert brought back €2.45.

2 Judge the campaign

Round 1

You must judge an online advert campaign.

Which two measures show its value best?

- **A** How many people saw it
- **B** Number of likes
- **C** Cost per sale
- **D** Number of clicks
- **E** Profit from the sales it brought

ANSWER

✓ Cost per sale
✓ Profit from the sales it brought

Why: Value is in sales and profit; clicks and views do not pay the bills.

3 Return on spend

Round 2

Three campaigns: what each cost, and the contribution it brought.

Order by profit as % of spend, highest first?

- **A** €500 spent, brings €1,000
- **B** €2,500 spent, brings €3,500
- **C** €1,000 spent, brings €1,600

ANSWER

1. €500 spent, brings €1,000
2. €1,000 spent, brings €1,600
3. €2,500 spent, brings €3,500

Why: Return: 100%, 60%, 40%. The biggest profit in euros has the lowest return.

Topic tasks

4 Enquiries to profit

Round 2

Enquiries from an advert.

Profit from the advert?

The advert costs	**€3,475**
Enquiries it brings	**30 plain**
Conversion rate	**20%**
Margin per car	**€1,830**

ANSWER

€7,505

20% × 30 = 6; 6 × €1,830 – €3,475 = €7,505

Why: A 20% conversion turns 30 enquiries into 6 sales.

5 Answer a price cut

Round 3

Your firm is known for the best service in town. A rival cuts its prices by 10%.

How should you respond, and why?

A Match the 10% price cut

B Promote your service, keep prices

ANSWER

✔ Promote your service, keep prices

Why: A price war cuts every margin; promoting what makes you different keeps loyal buyers.

6 Best advert return

Round 3

Which pays back more?

Work out profit as % of cost for each. Higher %?

Radio cost (70 enquiries)	**€4,500**
Social cost (40 enquiries)	**€4,500**
Conversion rate	**10%**
Margin per car	**€2,025**

ANSWER

215%

(sales × margin – cost) ÷ cost: radio 215%, social 80%

Why: Compare return on spend, not just profit.

Final questions

Each pupil answers 6 final questions. Pick the question topic “Promotion and campaigns”: the 6 come from these 10 questions.

1 Paid search costs €2,500 and adds 20% to your next 2 sales, up to €2,000 each. A customer pays €9,000. What does the campaign add to that sale?

✔ **€1,800**

2 Paid search adds 20% to the next 2 sales, up to €2,000 each. Your two sales are €12,000 and €7,000. What is the total bonus?

✔ **€3,400**

3 Social video costs €2,000 and adds 15% to the next 2 sales, up to €1,500 each. Your sales are €8,000 and €6,000. Did the campaign pay for itself?

✔ **Yes: bonuses of €1,200 and €900 make €2,100, €100 more than the cost**

4 You book Local radio (+15% on the next 3 sales) but sell nothing this round. What does your firm get from the campaign?

✔ **Nothing: the bonus is paid on sales, and the cost is already spent**

5 Which statement about the three campaigns is right?

✔ **A campaign raises what your next sales pay, up to a cap per sale; it does not bring extra customers by itself**

6 You expect two sales of about €5,000 each this round. Paid search: €2,500, +20% on 2 sales, cap €2,000. Social video: €2,000, +15% on 2 sales, cap €1,500. Which leaves more after its cost?

✔ **Neither pays: Paid search earns €2,000 for €2,500, Social video €1,500 for €2,000**

7 Your campaign's two bonus sales are used up and the round has five minutes left. What should the Sales & Marketing Director do about marketing?

✔ **Nothing more this round: a second campaign is a new cost, and only one runs a round**

8 Local radio cost €3,000 and added €600, €450 and €750 to three sales. What did the campaign do to the firm's profit?

✔ **It lowered profit by €1,200: €1,800 earned against €3,000 spent**

9 Paid search costs €2,500 and adds 20% to two sales. Roughly what must the two sales add up to for the campaign to break even?

✔ **€12,500**

Final questions

10 Local radio costs €3,000, +15% on the next 3 sales, cap €1,500 each. Your sales are €11,000, €9,000 and €4,000. What is the bonus, and the profit on the campaign?

✔ **Bonus €3,450; profit €450**